

HOTEL, ACCOMMODATION, AND TOURISM SECTOR GUIDE





Uganda Revenue Authority
DEVELOPING UGANDA TOGETHER

Vision

A transformational
revenue service for
Uganda's economic
independence



Mission

Mobilize revenue for
National development
In a transparent and
efficient manner



Core Values

- P** Patriotism
- I** Integrity
- P** Professionalism



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Foreword from the Commissioner General, URA

Dear reader,

This Hotel, Accommodation, and Tourism Sector Guide has been developed to provide practical guidance on tax compliance and clarify tax obligations. It aims to foster a collaborative relationship between sector stakeholders and the Uganda Revenue Authority (URA). The guide reflects URA's commitment to creating a fair, transparent, and enabling tax environment that supports sustainable growth and formalization within the industry.

The hotel and accommodation sector is vital to Uganda's socio-economic development. With over 5,600 registered hotels and lodges, the sector directly employs more than 250,000 people, providing income and livelihood for numerous Ugandans across the country. During peak seasons, national occupancy rates range from 55% to 68%, demonstrating both resilience and growth potential within the industry. Its importance is further highlighted by a substantial contribution of UGX 7.3 trillion to the national GDP through tourism related activities, accounting for approximately 7.7% of our GDP.

Additionally, the sector contributes significantly to tax revenue, generating an estimated UGX 117 billion annually. These funds are vital for supporting public services and national development.

We are cognisant of the challenges faced by businesses in this sector and remain dedicated to working with all stakeholders to simplify processes, promote voluntary compliance, and foster inclusive economic growth.

URA is committed to maintaining a fair and efficient tax system that supports business expansion while ensuring equitable revenue collection. We encourage all sector participants to utilize this guide as a step toward greater collaboration, increased transparency, and strengthened national development.

"Tunalengo Moja"

John R. Musinguzi

Commissioner General

Uganda Revenue Authority.





FOREWORD FROM THE CHAIRPERSON, UGANDA HOTEL OWNERS ASSOCIATION (UHOA)

On behalf of the Uganda Hotel Owners Association (UHOA), I warmly welcome you to this inaugural **URA-UHOA Tax Booklet for the Hotel Sector in Uganda**. This resource marks a significant milestone in our ongoing efforts to strengthen collaboration between the private hospitality sector and government institutions—particularly the Uganda Revenue Authority (URA).

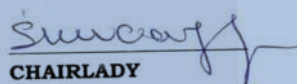
As Uganda's tourism and hospitality industry continues to grow and diversify, so too does the need for transparent, simplified, and supportive guidance on tax compliance. We recognize that many hotel owners—especially small and medium-sized enterprises—struggle with understanding the tax system, reporting obligations, and available incentives. This booklet is designed to change that.

With practical examples, clear explanations, and useful statistics, this booklet aims to demystify the tax environment for hoteliers. It reflects our shared vision with URA of fostering a more compliant, empowered, and sustainable hotel sector—one that not only meets its tax obligations but also contributes meaningfully to national development.

We are proud that this publication has been co-developed through consultative engagements with UHOA Secretariat, URA officials, and other stakeholders. It is not only a guide—but also a symbol of trust, partnership, and progress.

I would like to extend special thanks to the URA Commissioner General Mr. John Rujoki Musinguzi and his team for embracing the spirit of collaboration and for working closely with UHOA to make this resource a reality. Together, we are paving the way for improved service delivery, stronger compliance, and a healthier business climate for tourism and hospitality.

Let us continue building a sector we are proud of—transparent, tax-compliant, and ready to welcome the world.


CHAIRLADY

Susan Muhwezi
CHAIRLADY

WELCOME REMARKS FROM THE CEO, UHOA

It is my great pleasure to welcome you to the official UHOA/URA Tax Booklet — a milestone achievement in our ongoing efforts to support hotel owners across Uganda with accurate, relevant, and accessible information on tax compliance.

The hospitality sector remains one of the most dynamic and promising industries in Uganda. However, navigating the tax landscape has often been a challenge for many hotel owners, particularly for small and medium-sized establishments. This booklet, developed in close partnership with the Uganda Revenue Authority (URA), is designed to bridge that gap — providing clear guidance on tax obligations, procedures, and incentives available to players in our sector.

Our goal with this resource is to promote a culture of voluntary compliance, strengthen the relationship between hotel owners and tax authorities, and ensure that our members operate within the framework of the law while growing their businesses sustainably.

We deeply appreciate the Uganda Revenue Authority for their collaboration, openness, and shared vision in making this publication a reality.

As we launch this booklet during the UHOA Expo — a platform created to showcase opportunities and innovations in our sector — we reaffirm our commitment to building an informed, compliant, and empowered hotel industry. I encourage all members to make full use of this booklet, ask questions where they need clarity, and continue to engage



with UHOA and URA on issues affecting their operations.

Together, we can strengthen the hospitality industry and contribute to Uganda's broader economic transformation.

Jean Byamugisha
EXECUTIVE DIRECTOR

THE ROLE OF THE HOTEL SECTOR IN UGANDA'S ECONOMY

The hotel and hospitality industry is a pillar of the services sector and a key enabler of tourism in Uganda. With over 1.5 million international tourists and millions of domestic tourists annually, the sector significantly contributes to:

- Employment generation
- Foreign exchange earnings
- Tax revenue mobilization
- Infrastructure development
- Urbanization and local economic development

SECTOR PERFORMANCE

Metric	Value
Registered hotels and lodges	5,600+
Direct jobs supported	256,000
Contribution to GDP (via tourism)	UGX 7.3 trillion (7.7% of GDP)
Average hotel occupancy (national)	55–68% (peak seasons)
Annual tax contribution (est.)	UGX 117 billion+

Source: UBOS 2024, UHOA Sector Survey, URA Tax Collections Report

KEY DEFINITIONS

HOTEL

The Income Tax Act defines an approved hotel as an industrial building licensed by the appropriate authorities for use, at a price, for boarding and lodging with at least;

- a. Ten bedrooms with minimum facilities of bed and breakfast, toilet, and bath or shower room; and
- b. Restaurant or dining room for the provision of food and beverages

ACCOMMODATION

According to the International Standard Industrial Classification of all Economic Activities (ISIC), accommodation includes the provision of short-stay accommodation for visitors and other travelers. Also included is the provision of longer-term accommodation for students, workers, and similar individuals. Some units may provide only accommodation, while others provide a combination of accommodation, meals, and recreational facilities.

Main activities in the Hotel and Accommodation

The main activities include;

- Hotels
- Resort hotels
- Suite/Apartment hotels
- Motels
- Motor hotels
- Guesthouses
- Bed and breakfast units
- Visitor flats and bungalows
- Time-share units
- Holiday homes
- Chalets, housekeeping cottages, and cabins
- Villa

This class excludes: provision of homes and furnished or unfurnished flats or apartments for more permanent use, typically on a monthly or annual basis, Camping grounds, recreational vehicle parks, and trailer parks.



TOURISM

Tourism involves the short-term movement of people to destinations outside the places where they normally live and work. It also involves the activities of people, referred to as tourists or visitors, during their visit to these destinations and the facilities and services utilized during their stay.

Please note that Tourism is

- Perishable in that the services cannot be stored for later sale or use.
- Inseparable in that the producer and the consumer (visitor) must come together in order for consumption of the tourism products to occur.
- Heterogeneous because there are so many different persons to provide an expected level of quality service to make the overall experience what it should be. This variability of tourism services is so because it depends highly on who provides them, when, where and how they are provided.

Activities involved in tourism

a) Accommodation and food service activities

This section includes the provision of short-stay accommodation for visitors and other travelers. Also included is the provision of longer-term accommodation for students, workers and similar individuals. Some units may provide only accommodation while others provide a combination of accommodation, meals and/or recreational facilities.

This division excludes activities related to the provision of long-term primary residences in facilities such as apartments typically leased on a monthly or annual basis classified in Real Estate.

This class includes the provision of short-term accommodation provided by:

- Hotels or Resorts
- Suite/apartment hotels or Motels
- Motor hotels or Guesthouses
- Bed and breakfast units
- Visitor flats and bungalows or Time-share units
- Holiday homes
- Chalets, housekeeping cottages and cabins
- Youth hostels and mountain refuges

This class excludes: —provision of homes and furnished or unfurnished flats or apartments for more permanent use, typically on a monthly or annual basis, Camping grounds, recreational vehicle parks and trailer parks.

b. Administrative and support services

This section includes a variety of activities that support general business operations. These activities include:

i) Travel agency, tour operator, reservation service and related activities - Travel agency activities include;

Activities of agencies primarily engaged in selling travel, tour, and transportation and accommodation services to the general public and commercial clients.

- Tour operator activities include;
- Arranging and assembling tours that are sold through travel agencies or directly by tour operators. The tours may include any or all of the following: transportation,
- accommodation, food, visits to museums, historical or cultural sites, theatrical, musical, or sporting events
- Other reservation services and related activities
- Provision of other travel-related reservation services i.e. reservations for transportation, hotels, restaurants, car rentals, entertainment, and sports etc.
- Provision of time-share exchange services
- Ticket sales activities for theatrical, sports, and other amusement and entertainment events

- Provision of visitor assistance services i.e. provision of travel information to visitors activities of tourist guides
- Tourism promotion activities

ii) Transportation and storage

This section includes the provision of passenger or freight transport, whether scheduled or not, by rail, pipeline, road, water or air and associated activities such as terminal and parking facilities, cargo handling, storage etc.

TOURIST

A tourist is anyone traveling for such purposes as recreation, holiday, sports, family reasons, business, on a mission or as a delegate at a conference, staying at least 24 hours and overnight, but not more than one (1) year. It excludes emigrants, diplomats, consular representatives and armed forces personnel. In no instance should the person be earning income in the place visited.

Tourists are broadly classified into three categories, namely,

International – Those who visit another country outside their own country

Regional – Those traveling in a defined geographical region

Domestic - Those traveling within their own country of residence.

TOUR AGENTS

Since visits (tours) are outside their spheres of influence, these tourists sometimes require the services of other persons to help them get along. These persons, called tour agents, provide this intermediation service for a fee.

A. Tour package placement

- Client/ agent make contact and state what they want and requests for a quotation of how much it will cost.
- The tour agent establishes the costs of the goods and services the tourist will require and sends a quotation to the client
- Client confirms; -with advance payment or with advance deposit, or cancels the tour
- Where payment is made as in (iii) above, money is received into the tour company's account.
- Tour agent makes bookings for the services and goods the client will need e.g. Hotels, game parks, other places of interest, Souvenirs etc.
- Client arrives and the trip is conducted.

The Tourist/Tour Operator Relationship

The Tour operator is an independent party and deals with a tourist in two capacities; -as an agent of the tourist, as the principal host of the tourist.

A clear distinction must be made of when the tour operator provides supplies of own services to the tourist and when the tour operator acts as an agent to the tourist. For tax purposes, we need to understand what constitutes the tour operator's business in these functions and the income derived from such business.

Membership of the Uganda Hotel Owners Association (UHOA)

Founded in 2000, UHOA represents over 600 hotels across Uganda. Hotels should also enlist and become members of UHOA. To be a member of UHOA, a hotel must fulfil the following conditions:

1. **Size of Hotel:** The hotel must have a minimum of 10 rooms.
2. **Legal Compliance:** The hotel must operate legally and comply with all relevant national and local regulations, including licensing requirements, registration with URSB, and having a TIN, and meet all its tax obligations.
3. **Percentage completion:** The hotel must have completed 75% of its construction.
4. **Membership Fees:** The hotel should have paid membership fees, which may vary based on the size and classification of the hotel.

- 5. Active Participation:** Willingness to actively participate in UHOA activities, initiatives, and events aimed at promoting the interests of the hospitality industry.
- 6. Ethical Conduct:** Adherence to ethical business practices, UHOA code of conduct, and professional conduct within the hospitality industry.

How UHOA supports compliance

UHOA partners with URA to host regular tax training sessions, organize tax clinics, publish compliance manuals, provide helpdesk support for hotels, engage in policy consultations with URA, and provide onboarding support for new initiatives such as EFRIS.

In 2023, UHOA helped 300+ hotels adopt EFRIS, reducing VAT errors by 40% and boosting timely filings by 28%.

Hotel Tax Remittance Trends (UHOA Estimates)

Year	VAT (UGX Bn)	PAYE (UGX Bn)	Corporate Income Tax (UGX Bn)	Total (UGX Bn)
2020	23.4	15.7	9.8	48.9
2021	30.1	18.4	12.0	60.5
2022	37.6	23.5	16.4	77.5
2023	45.2	27.1	21.5	93.8
2024 (Projected)	54.0	31.0	25.0	110.0

REGULATORY REQUIREMENTS

A. REGISTRATION

Business/Company registration: The legal requirements for the incorporation/registration/formation of a company in Uganda are contained in the Companies Act, 2012.

Registration is done by the Uganda Registration Services Bureau (URSB). Upon approval of a Business Registration application, a Certificate of registration is issued if the business is registered in ones names or a Certificate of Incorporation if registered as a Limited liability Company.

KCCA/Local Government registration: Upon approval of a Trading License application, a trading license will be issued to enable you to operate your business in a delineated Local Authority countrywide.

Tax Registration: You will be required to register and obtain a Tax Identification Number (TIN). A TIN is a 10-digit number that acts as a taxpayer's account with the Uganda Revenue Authority (URA). It shall be used for each taxpayer's identification and communication with URA and for all tax purposes under all tax laws.

Any person engaging in "business "generating income in Uganda is required to register for taxes. "Business" includes any trade, profession, vocation or adventure in the nature of trade, but does not include employment.

A person liable to pay tax under a tax law shall apply to the Commissioner for registration with Uganda Revenue Authority (URA). On successful registration, the Commissioner shall issue to every applicant a Tax Identification Number (TIN).

A person's TIN shall be indicated on any return, notice, communication, or other document furnished, lodged, or used for the purposes of a tax law. A TIN is personal to the person to whom it has been issued and shall not be used by another person. A TIN is obtained free of charge and therefore no one should charge you for it.

The key requirements for TIN registration

a) Individuals

A copy of the National identification card or two identification documents such as a passport, employee's ID, voter's card, driving license, work permit, village identity card, current bank statements (past 90 days), visa card number, and diplomatic foreign affairs ID among others.

Please take note of the following categories that need additional requirements

i) Foreign Directors

A Foreign Director is a non-Ugandan who has incorporated a company in Uganda. For resident foreign directors to qualify for a TIN in Uganda, they are required to have the following documentation:

- Valid passport and either
- Work permit for non-East Africans (ie if it is already processed) or
- National IDs for East Africans or
- Refugee ID for refugees

ii) Non-resident directors

At least two valid identification documents are mandatory, ie valid passport and foreign national security cards, among others.

Note: A work permit is not mandatory for foreign directors as it is a requirement to have a TIN to process a work permit.

iii) Minors

A Minor is a person who is under 18 years of age. For minors to qualify for a TIN, a copy of a Legal / Court document of guardianship shall be attached.

b) Non-Individuals

A Non-Individual is an entity that is not a living person, and it includes a partnership, a trust, a company, a retirement fund, a government etc.

Entity Type	Entity Sub Type	Documents required (M- Mandatory, O - Optional)
Company	Public Company	• Certificate of Incorporation(O) • Memorandum between Government and Entity (M)
	Private Company	• Company form 7(20) (M) • Certificate of Incorporation (M) • Company form 8 (O)
	Foreign Company	• Certificate of Registration (M) • Company form 19 (M) • Company form 21 (M)
Other Entity types	Club, Society or Associations	• Certificate of Registration (M) • Club Constitution (O)
	Estate or Trust	• Certificate of registration (M) • Trust deed (O)
Partnership	General Partnership	• Partnership deed (O) • Certificate of Registration (M) • Statement of Particulars (M)

Entity Type	Entity Sub Type	Documents required (M- Mandatory, O - Optional)
Partnership	Joint Venture (JV) NB: i) Where the name of the JV is different from the corporate names of all partners, which are corporations. ii) Where a partner in the JV is a resident person, the JV shall be registered as a resident partnership. iii) Where none of the partners in the JV is a resident person, the J shall be registered as a non-resident partnership.	• Joint venture agreement duly endorsed by the Registrar of Companies • Registration/incorporation documents shall be required for the individual partners in the JV • Certificate of Registration of the JV under the Registration of Business Names Act
Partnership	Limited Liability Partnership	• Certificate of Registration of the Limited Liability • Partnership (M) • Statement of Particulars (M) • Memorandum and Articles of Association (M)

How can to apply for a TIN

Through the URA Web portal:

- Visit the URA web portal - <https://ura.go.ug>
- Download the appropriate registration form (Individual or Non-Individual),
- Complete the form by filling in the mandatory fields (boxes)
- Upload and submit online the completed form
- Print a copy of the form and sign it off, and together with the necessary attachments, submit to the nearest URA office.
- Receive an acknowledgment notice of approval of TIN

Visiting a URA-designated office

In case a taxpayer cannot register online, he or she can walk into any of the URA offices or One Stop Centre located in any of the municipalities or KCCA division, and assistance shall be provided to complete the registration process. Ensure that you move along with the necessary attachments.

In case of failure to do any of the above, call: (Toll free) 0800117000/0800217000 / or WhatsApp 0772140000 or send an email to services@ura.go.ug. On approval of the application, the taxpayer will receive a notice containing the TIN and a default password to enable them log into their URA Account on the web portal.

This will enable you to create your own password. All taxpayers should jealously protect details about their TIN account since they are responsible for all the transactions conducted through their TIN account.

Benefits of acquiring a TIN

Acquiring a TIN enables you to:

- Acquire a trading license from the Local Government / KCCA to undertake business in their jurisdiction. Register your Motor Vehicle
- Claim tax benefits that accrue to you e.g. tax refunds etc.
- Access bank loans.

- Import or export goods within and outside Uganda.
- Process land transactions above Ugx 10 million.

A TIN acts as a security measure on transactions regarding some assets e.g. already validated motor vehicles, titled land, since a notification is automatically sent to the owner's TIN account and registered email.

Directive to Ministries, Government Departments, Agencies, and Institutions on the use of TINs

The Income Tax Act (ITA), requires that every local authority, Government institution, or regulatory body shall require a Tax Identification Number from any person applying for a license or any form of authorization necessary for purposes of conducting any business in Uganda.

Consequences of failure to register for a TIN, cancel a registration or notify the commissioner of a change in registration

The penalty for a person who fails to apply for registration, cancel a registration or notify the Commissioner of a change in registration or circumstances is;

- a fine not exceeding Shs. 3,000,000 or imprisonment not exceeding six years or both on conviction if the failure/act was done knowingly or recklessly.
- to a fine not exceeding Shs. 1,000,000 or imprisonment not exceeding two years or both on conviction in any other case.

The penalty to be paid under this section shall be recovered and collected as unpaid tax.

Use of a false TIN

A TIN is personal to the person to whom it has been issued and shall not be used by another person.

A person who uses a false TIN on a tax return or other document prescribed or used for the purposes of a tax law, knowingly or recklessly or not, commits an offence and is liable on conviction to a fine not exceeding Shs. 3,000,000 or imprisonment not exceeding six years or both.

TAXPAYER RIGHTS AND OBLIGATIONS

Rights	Obligations
• You have a right to equity: 1. Tax laws and procedures shall be applied consistently to you	• Comply with all the taxation requirements and regulations. • Make full disclosure of information and correct declaration of all transactions at all times.
1. All your tax affairs handled with fairness 2. You and your agent(s) shall be presumed honest until proven otherwise 3. You shall always pay the correct tax • Your tax affairs shall be kept secret and any tax information in our possession shall be used in accordance with the law. • You and your authorized agent(s) shall be provided with clear, precise and timely information. • You will receive courteous and professional services at all times	• Pay the correct tax at the right time and place as required by the relevant laws. • Not indulge in any form of tax evasion and other illegal practices. • In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with the • Authority's authorized staff. • Quote your Tax Identification Number (TIN) for all dealings with URA. • Request for a proper receipt for all your purchases and keep records properly

B. RECORD KEEPING

Benefits of accounts and record keeping

1. It is very important for taxpayers to;
 - Keep proper records of all business transactions in English language;
 - Keep records such that it is easy to determine their tax liability;
 - Keep records for five years after the end of the tax period to which they relate for future reference.
2. In case a record is necessary for a proceeding which started before the end of the 5 years, a taxpayer shall keep the record until the end of the proceedings.
3. The records kept should contain sufficient transaction information and should be saved in a format that is capable of being recovered and converted to a standard understandable record format.
4. A taxpayer who wishes to keep records in a different language or currency shall apply in writing with clear reasons to the commissioner for permission.
5. Where a record is not in English, the taxpayer will be required to meet the cost of translation into English by a translator approved by the Commissioner.
6. However, the taxpayer shall file a tax return or provide other correspondence with the Commissioner in English.

Penalty for failure to maintain proper records

The penalty for knowingly or recklessly or not failing to maintain records as required under any tax law is a fine not exceeding Shs. 2,000,000 or imprisonment not exceeding six years or both on conviction.

Note: A taxpayer who cannot effectively handle his tax matters, can appoint a tax agent to transact with URA on his/her behalf.

C. FILING TAX RETURNS

A tax return is a declaration in a form prescribed by the Commissioner, on which a taxpayer reports his or her income for the tax period as a way of self-assessment for taxation purposes. A taxpayer registered with URA for any tax type other than Pay as you earn (PAYE) must submit a return for the tax period as per the respective tax law.

A tax period is the duration for which a return is required i.e. a year, month or week. A due date is the deadline for filing a return beyond which a person is required to pay a penalty. URA has facilitated the taxpayers to fulfill this obligation by introducing the electronic filing of tax returns

Return type	Due date and filing remarks
Income tax	• Every taxpayer is required to furnish a return of the provisional tax estimate (i) For non-individuals: On or before the last day of the sixth month of the year of income in respect to the taxpayer's liability. (ii) For individuals: On or before the last day of the third month of the year of income in respect of a taxpayer's liability.
	• All taxpayers are required to submit final Income tax returns (including rental income returns where applicable) for each year of income not later than the sixth month after the end of the year of income. Those with an annual turnover above 500 million shillings must file their income tax returns with audited financial statements prepared by an accountant registered by the Institute of Certified Public Accountants of Uganda.
VAT	• All VAT registered taxpayers are required to submit Value Added Tax returns (VAT) for each month by the 15th day of the following month.

Return type	Due date and filing remarks
PAYE	All PAYE registered taxpayers are required to submit Pay As You Earn (PAYE) tax returns for each month by the 15th day of the following month.
Excise duty	All taxpayers registered for Excise duty are required to file Excise duty returns for each month by the 15th day of the following month.
Withholding Tax	All designated taxpayers registered for withholding tax are required to file WHT returns for each month by the 15th day of the following month.
Others	In case of any return required to be submitted under the tax law, it must be done within the specified period under the tax law.

Note

- All tax returns must be submitted in the prescribed format, and the commissioner can appoint any other person to assist a taxpayer who fails to file at his/her cost.
- The law provides for a separate quarterly return for non-resident suppliers of services deemed to be supplied in Uganda when made to non-taxable persons.

D. PAYMENT OF TAX

All operators in the hotel and accommodation sector are required to pay their tax liabilities by the due dates of filing the respective returns to avoid the accumulation of interest. Thus, any tax payable is a debt to the Government of Uganda. A taxpayer can apply in writing to the Commissioner for an extension to pay tax at a later date, but this does not change the payment due date, and thus interest will be charged on any outstanding liability from the date when the payment was due

Procedure for paying tax

- Taxes are paid through registering a payment online through the URA web portal or using the Ask URA App (downloadable from Google Store) or dialing URA's USSD code *285# and then effecting the payment either in the Bank, through Mobile Money or Payway services.
- To register a tax payment online, visit the web portal (ura.go.ug), click on 'Make a payment', and follow the prompts.
- Select the tax head, go to the details of Tax Type, select the appropriate tax head from the drop-down, and input the tax amount.
- Fill in the details of the Taxpayer and mode of payment, enter the text from the given image (Please note that the letters are case sensitive and there is no space between values)
- Click the 'Accept and Register' button and print out the Payment Registration Slip that appears on submission of payment details, or take note of the Payment Registration Number (PRN) on the slip.
- To effect payment, take the printed payment registration slip to the bank or use the PRN on the payment slip to pay through Mobile Money, Payway or Visa/ Master Card Services.

TAXES APPLICABLE TO THE HOTEL, ACCOMMODATION AND TOURISM SECTOR

Hotels must comply with a range of central and local government tax obligations.

1. CENTRAL GOVERNMENT TAXES (URA)

Tax Type	Description	Frequency	Rate
Corporate Income Tax	On net profit (chargeable income)	Annually	30%
PAYE	On the employee's monthly emoluments	Monthly	Graduated scale

Tax Type	Description	Frequency	Rate
Withholding Tax (WHT)	On supplier payments > UGX 1M	Monthly	6%
Presumptive Tax	For hotels with turnover < UGX 150M	Annually	UGX 50,000–1.5M
Value Added Tax (VAT)	On accommodation, meals, and conferencing	Monthly	18%
Customs tax	On imports and selected exports	Transactional	Varies
Stamp Duty	On contracts, leases	Transactional	Varies

NSSF Contribution

Providers in this sector are also supposed to make contributions to the National Social Security Fund, for staff retirement savings monthly. The rate is 15% (10% employer, 5% employee).

A. INCOME TAX

Income tax applies generally to all types of persons who derive income, whether an individual, non-individual or partnership. Resident persons are taxed on worldwide income, while non-resident persons are taxed only on income derived from sources in Uganda.

The taxpayer is required to make a self-assessment by calculating the taxable income and then calculate tax due on that income. The taxpayer's calculations are reviewed by revenue officials when returns are filed to ensure that the declarations made are correct.

The income tax rates apply differently to;

i) Non-Individuals (Corporate Income Tax)

The income tax rate for a company i.e. a body of persons, corporate or unincorporated, created or recognized under any law in Uganda or elsewhere, is 30% of the entity's CHARGEABLE INCOME (gross income less tax allowable deductions).

Illustration

Income tax worked example for a non-individual in hotel services business.

The table below shows the income statement for Pumba Safari lodge Limited for the period 1/01/2019 to 31/12/2019

SALES /Revenue	UGX	UGX
Hotel Rooms (Accommodation)	875,025,000	
Food and Beverages Sales	291,675,000	
Total Sales		1,166,700,000
COST OF SALES		
Total Cost of Sales		(370,428,000)
EXPENSES		
Pay Roll	332,177,000	
Employees Benefits	56,865,000	
Direct Expenses	54,835,000	
Advertising	33,834,000	
Music and Entertainment	11,667,000	
Utilities	37,334,000	
Administrative Expenses	46,668,000	
Total Expenses		(573,380,000)

SALES /Revenue	UGX	UGX
Profit Before Interest and Tax		222,892,000
Interest		(84,000,000)
Profit Before TAX		138,892,000
TAX =30% of 138,892,000 UGX		41,667,600

ii) Tax rates for Individuals in the hotel services business

The income tax rate for individuals depends on the income bracket in which the individual falls. Resident individuals enjoy a tax-free annual income threshold of UGX. 2,820,000 per annum. The balance is taxed at 10%, 20% or 30% depending on the income bracket. Individuals who earn above UGX 120,000,000 per annum pay an additional 10% on the income above UGX 120 million.

N.B CY represents chargeable income.

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Residents
0 to 2,820,000	Nil
2,820,000 to 4,020,000	$(CY - 2,820,000UGX) \times 10\%$
4,020,000 to 4,920,000	$(CY - 4,020,000UGX) \times 20\% + 120,000UGX$
4,920,000 to 120,000,000	$(CY - 4,920,000UGX) \times 30\% + 300,000UGX$
Above 120,000,000	$[(CY - 4,920,000UGX) \times 30\% + 300,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$
ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
	Non-residents
0 to 4,020,000	$CY \times 10\%$
4,020,000 to 4,920,000	$(CY - 4,020,000UGX) \times 20\% + 402,000UGX$
4,920,000 to 120,000,000	$(CY - 4,920,000UGX) \times 30\% + 582,000UGX$
Above 120,000,000	$[(CY - 4,920,000UGX) \times 30\% + 582,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Illustration

Using the example of Pumba Safari Lodge Limited above; assuming the hotel is owned by Katende Edith, a resident individual trading as Pumba Safari Lodge, the tax payable would be:

SOLUTION:

The chargeable Income UGX 138,892,000 falls in the bracket (above UGX 120,000,000) $[(CY - 4,920,000) \times 30\% + 300,000] + [(CY - 120,000,000) \times 10\%]$
 $\{(138,892,000 - 4,920,000) \times 30\% + 300,000\} + \{(138,892,000 - 120,000,000) \times 10\% \}$
 $= 42,380,800$
Tax payable = UGX 42,380,800

B. PAYE AS YOU EARN

Any person dealing in the hotel and accommodation business and offers employment is required to be registered for Pay As You Earn (PAYE).

Employment refers to;

- A position of an individual in the employment of another Person
- Directorship of a company,
- A position entitling the holder to a fixed or ascertainable remuneration.
- Holding or acting in a public office.

Employment income includes: Wages, salary, leave pay, payment in lieu of leave, overtime pay, fees, commission, gratuity, bonus, allowances (entertainment, duty, utility, welfare, housing, medical, or any other allowance).

PAYE is a monthly return furnished by an employer for an amount withheld from their employees who earn employment income or an associate as tax. Pay As You Earn is charged on all employees earning income above the stated threshold as per the Income Tax Act.

PAYE Tax rates that apply for both Residents and Non-Residents.

CHARGEABLE INCOME (CY) UGX (MONTHLY)	RATE OF TAX
	RESIDENTS
0 to 235,000	Nil
235,000 to 335,000	$(CY - 235,000UGX) \times 10\%$
335,000 to 410,000	$(CY - 335,000UGX) \times 20\% + 10,000UGX$
410,000 to 10,000,000	$(CY - 410,000UGX) \times 30\% + 25,000UGX$
Above 10,000,000	$[(CY - 410,000UGX) \times 30\% + 25,000UGX] + [(CY - 10,000,000UGX) \times 10\%]$
CHARGEABLE INCOME (CY) UGX (MONTHLY)	RATE OF TAX
	NON-RESIDENTS
0 to 335,000	$CY \times 10\%$
335,000 to 410,000	$(CY - 335,000UGX) \times 20\% + 33,500UGX$
410,000 to 10,000,000	$(CY - 410,000UGX) \times 30\% + 48,500UGX$
Above 10,000,000	$[(CY - 410,000UGX) \times 30\% + 48,500UGX] + [(CY - 10,000,000UGX) \times 10\%]$

Illustration – Resident individual

- Kamonde is a resident employed by Rafiki hotel. He earns a monthly salary of UGX 200,000. Is Rafiki hotel obliged to deduct PAYE tax from Kamonde?

Solution;

No, because Kamonde's monthly salary is less than the threshold UGX 235,000 so his salary does not attract PAYE.

- If Kamonde in addition to the monthly salary of UGX 200,000 is given travelling allowance of UGX 75,000 and a medical allowance of UGX 45,000. How much shall Kamonde pay?

Solution;

Chargeable income = $10\% (200,000 + 75,000 + 45,000 - 235,000) = 8,500$ UGX PAYE worked examples for non-resident employee.

Illustration – Non-Resident individual

- Mr. Brown is a non-resident employed by Rafiki Hotel. He earns a monthly salary of Shs. 15,000,000. Compute his monthly amount of PAYE to be deducted?

Solution

15,000,000 falls under the bracket (Exceeding UGX. 410,000) Thus PAYE = $(48,500 + 30\% (15,000,000 - 410,000)) + 10\% (15,000,000 - 10,000,000)$
= UGX. 4,925,500



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C. WITHHOLDING TAX (WHT)

Withholding tax (WHT) is income tax that is withheld at source by one person (withholding agent) upon making payment to another person (payee).

A withholding agent is a person legally obliged to withhold tax on payment. To become a withholding agent, one must;

- Be on the list of selected / designated withholding agents published by the Minister of finance in a gazette or
- Be making a payment on a transaction that is required by law to be deducted from WHT.

Some of the payments that are considered for WHT tax include:

- **Employment income:** Tax is deducted by the employer from the employment income of every liable employee on a monthly basis under the PAYE system.
- **Payments for professional fees:** A resident person who pays management or professional fees to a resident professional is required to withhold tax at 6% of the gross amount of payment. Excluded from this provision are professionals who the Commissioner is satisfied have regularly complied with the obligations imposed by the Income Tax Act
- **Withholding tax on payments to foreign entertainers and sports persons:** Tax is charged at a rate of 15% on payments to nonresident entertainers, sports persons, or theatrical, musical, or other groups of nonresident entertainers or sports persons who derive income from any performance in Uganda. The obligation to withhold the tax is placed with the person making the payment e.g. promoter, agent, or similar person.
- **International payments:** International payments: Tax is imposed on every non-resident person who derives any dividend, interest, royalty, natural resource payment, rent or management charge from sources in Uganda. The tax is withheld by the payer at the rate of 15% on the gross amount before payment.
- **Payments to non-resident contractors or professionals:** Tax is imposed on every non-resident person deriving income under a Ugandan source service contract. The tax is charged at 15% of the gross amount of payment and the person making the payment should withhold the relevant tax before effecting the payment.

Note: A Ugandan source service contract is a contract under which the principle purpose is the performance of services which give rise to income sourced in Uganda, and any goods supplied under the contract are only incidental to the purpose. A Ugandan-sourced service contract excludes an employment contract.

- **Payments on dividends:** A resident company which pays a dividend to a resident shareholder is required to withhold tax at 15% of the gross amount of the dividend paid, except where the dividend income is exempt from tax in the hands of the shareholder. However, where the dividend is paid by a company listed on the stock exchange to a resident shareholder, the rate is 10% on the gross amount.
- **Payment for Goods and Services:** Any payment of amounts in total exceeding Shs. 1,000,000 to any person in Uganda for the supply of goods, materials of any kind or services, is required to withhold 6% of the gross amount. The threshold of Shs. 1,000,000 is in respect of the total contract value, implying that separate supplies which constitute one contract are subject to the 6% withholding tax regardless of the fact that the amount paid per a single supply
- **Payment on imports:** Every person who imports goods into Uganda is liable to pay withholding tax at 6% based on the Customs Value in Uganda at the time of importation.
- **Withholding tax on Interest:** A resident person who pays interest to another resident person is required to withhold tax at 15% of the gross amount of the interest paid. Withholding tax is, however, not applicable where interest is paid by a natural person (individual), paid to a financial institution, paid by a company to an associated company, or exempt from tax in the hands of the recipient. Where tax is withheld on payment of interest by a financial institution to an individual, the tax withheld is a final tax on the income.



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Filing a WHT return and payment of WHT

- The responsibility for payment of the tax rests primarily on the person making payment as a withholding agent. Thus, in case of his/her failure to withhold the tax or in case of under-withholding, the under-collected tax becomes due from the withholding agent.
- A WHT Agent is required to pay the tax withheld within 15 days after the end of the month in which the payment subject to withholding tax was made by the WHT Agent.

Computation of Withholding Tax

Illustration

If Kato a resident individual, supplies hotel sundries worth 100M UGX to Umoja hotel (Designated withholding agent), he will receive a net of 94 million UGX, and the 6 million UGX (6% of 100M UGX) will be withheld and remitted to URA by Umoja hotel on his behalf. Note that the 6 million UGX withheld forms part of Kato's annual Tax liability and thus will reduce his Tax liability for the year.

D. PRESUMPTIVE TAX

The concept of small businesses in taxation was developed to accommodate low-income taxpayers who would ordinarily find it difficult to prepare formal accounts. The preparation of these accounts would usually require the engagement of a professional accountant, which is costly. In order to address this challenge, the Income Tax Act provides for an arrangement of taxing small businesses based on gross turnover or total sales. This is commonly referred to as presumptive tax.

For income tax purposes, a small business taxpayer is a resident taxpayer whose gross turnover from all businesses owned by such a person in a year is more than ten million shillings but does not exceed one hundred fifty million shillings. The term TURNOVER refers to one's total sales in a year.

However, persons in the following business activities are excluded from presumptive tax: medical, enter, architectural, accounting and audit, legal, dental, construction, engineering, any other professional services, public utility and public entertainment services.

Note: Persons outside the presumptive scheme are required by law to file provisional and final income tax returns and be assessed to tax based on chargeable income for the year.

Schedule for the computation of "presumptive" income tax for small businesses

Gross turnover per annum	With records	Without records
Not exceeding UGX 10 million	NIL	NIL
Exceeding UGX 10 million but does not exceed UGX 30 million	0.4% of annual turnover exceeding 10 million	UGX 80,000
Exceeding UGX 30 million but does not exceed UGX 50 million	UGX 80,000 plus 0.5% of annual turnover exceeding UGX 30 million	UGX 200,000
Exceeding UGX 50 million but does not exceed UGX 80 million	UGX 180,000 plus 0.6% of annual turnover exceeding UGX 50 million	UGX 400,000
Exceeding UGX 80 million but does not exceed UGX 150 million	UGX 360,000 plus 0.7% of annual turnover exceeding UGX 80 million	UGX 900,000

Note: No deductions are allowed in respect of any expenditure or losses and the assessed tax is final for presumptive tax payers, however one has an option of filing returns

Key features of the presumptive tax regime

1. The tax is computed on the basis of a GROSS TURNOVER; and is a final tax.
2. No deductions are allowed in respect of any expenditure or losses.
3. No tax credit is allowed to be offset against the final tax except in the following cases:
 - A tax credit arising out of withholding on receipt included in the gross turnover of the taxpayer
 - Any provisional tax paid against the taxpayer's gross turnover during the year of Income

Note: A taxpayer who would ordinarily fall under the presumptive tax regime may opt out by notifying the Commissioner in writing to be assessed on chargeable income. The chargeable income method involves the preparation of financial statements by the taxpayer. Such a taxpayer is required to submit the election notice together with their Annual Income Tax Return for that year by the due date of filing such return of income.

E. VALUE ADDED TAX (VAT)

VAT is a consumption tax charged at a rate of 18% or 0% on all supplies made by taxable persons i.e. persons registered or required to register for VAT purposes. The threshold for VAT registration is an annual turnover of over 150 million UGX or 37.5 million UGX for 3 consecutive months.

Some transactions are beyond the scope of VAT and these are classified as Exempt supplies. Supplies on which VAT is charged at 0% are classified as zero-rated supplies.

VAT Registration

i) Compulsory Registration

There are two categories of persons that are required to compulsorily register for VAT under the VAT Act. These are:

- Persons who make taxable supplies (turnover) in excess of 37.5 million in any 3 consecutive calendar months.
- Public bodies that engage in business activities. These include Government Ministries, departments, parastatals, Town Councils and District Administrations among others. These bodies should apply for registration on the date they start dealing in business activities. The business activities include hall hire, tendering of services, markets.

ii) Voluntary Registration

Persons whose taxable turnover is below the VAT threshold are eligible to register if they wish to do so provided they meet the following general requirements

- The applicant must have a fixed place of abode or business.
- The applicant should be able to keep proper books of accounts.
- The applicant should be able to submit regular and reliable tax returns.
- The applicant should be a fit and proper person in the opinion of the Commissioner

Some transactions are beyond the scope of VAT, and these are classified as Exempt supplies, and those that deal in them are not required to register for VAT.

IMPORTANT

ISSUANCE OF E-INVOICES OR E-RECEIPTS BY ALL VAT-REGISTERED TAXPAYERS

All VAT registered taxpayers are obliged to register for EFRIS and issue fiscalised invoices i.e. e-invoices. The Electronic Fiscal Receipting and Invoicing Solution (EFRIS) is a smart business solution used to record business transactions and share the information with URA in real time.

An e-invoice shows that a sale has occurred through EFRIS. It shows the seller's details, URA information, Buyer's details, Goods and services details, Tax details, and Summary sections.

Penalties for non-compliance in regard to EFRIS

A VAT registered taxpayer who does not adopt the use of EFRIS is liable to pay a penal tax equivalent to double the amount of tax.

Illustration

Rider Hotel made the following accommodation sales (VAT inclusive) to the following customers in September 2016: Usur Biyinzika-UGX 5000,000, Biyinzika- UGX 600,000, Coca Cola-UGX 3,200,000, and UBDP UGX 2,780,000.

The hotel also incurred the following purchases (VAT inclusive) Globo Chemicals (U) Ltd, UGX 1,200,500; Jactor Supermarket, UGX 100,800; African Queen UGX 3,389,831. Calculate the VAT payable to URA.

Solution:

Name	Particulars	TIN	Amount charged (UGX)	18% VAT	VAT Inclusive (UGX)
SALES					
Usur Biyinzika	Accommodation	1000427333	4,237,288	762,712	5,000,000
Poultry	Accommodation	1002240249	508,475	91,525	600,000
Coca Cola	Accommodation	1000243003	2,711,864	488,136	3,200,000
UBDP	Accommodation	no TIN	2,355,932	424,068	2,780,000
				1,766,441	
PURCHASES					
	laundry supplies	1000159958	1,017,373	183,127	1,200,500
Jactor Supermarket	Cornflakes	1000153993	85,424	15,376	100,800
African Queen	beverages	no TIN	3,389,831	-	3,389,831
				198,503	

VAT payable to URA = OUTPUT TAX (**Sales**) - INPUT TAX (**Purchases**)
= 1,766,441 - 198,503
= UGX 1,567,938

Note; When you are VAT registered, you can charge VAT to all your customers on taxable sales; however, you can only claim on purchases where VAT has been charged, as shown in the illustration above. Rider Hotel was able to charge VAT to UBDP even though it is not registered; however, Rider couldn't claim VAT on the purchases from African Queen because no VAT had been charged.

F. CUSTOMS DUTY

These are taxes which are charged on all goods entering into or leaving our country. The taxes charged depend on the value and nature of the item imported. Customs value means the value of imported goods for the purposes of levying ad valorem Customs duties and taxes.

- For Goods imported using road rail and marine transport modes, Customs value is composed of the Price for the goods, cost of insurance and freight.
- While for goods imported using air transport, the Customs value is composed of the price for the goods and the cost of insurance. Freight is not included for goods transported by air.

The customs value is used as the basis for calculating customs duties.

Composition of Customs value

The customs value will include the following;

- Cost of the goods free on board a transport vessel in the country of export.
- Freight charges up to the place of importation if the goods are transported by road, rail or Sea.

- Loading, unloading, and handling charges associated with transport of goods to the place of importation; and
- The cost of insurance.

Other charges comprising customs value include,

- Pre-shipment inspection
- Charges such as Commissions and brokerage, cost of containers, packing costs, assists, royalties and license fees
- Packing costs

Steps followed when computing customs duties

- Step 1: Determine Customs Value (CV);
- Step 2: Convert the Customs Value to Local Currency (UGX);
- Step 3: Classify the item (HSC) as per the common external tariff;
- Step 4: Determine taxes collectable
- Step 5: Apply the duty rates on the Customs Value

Customs duties comprise of:

- a) Import duty:** This is a tax collected on imports and some exports not listed in the exemption schedule by URA. It is based on the customs value of the goods that are imported. The customs value is Cost, Freight, and Insurance up to Mombasa or cost and insurance if by Air. The rate of import duty is either 0%, 10%, 25% or more for sensitive items like wheat and powdered milk.

NB. For more information on import duty rates, please refer to our common external tariff book on the portal.

Formulae for calculating import duty

- Import Duty (ID) = ID rate x Customs value

- b) Excise duty at Importation:** This tax is only charged on specific goods imported at varying rates.

Formulae for calculating excise duty

- Excise duty (EXD) = EXD value x EXD rate = (ID + Customs value) x EXD rate

- c) VAT at importation:** This is a tax on consumption charged on taxable goods imported into the country and is charged at a rate of 18% if the importer is registered for VAT and at 15% on the 18% of the value if the importer is not registered for VAT but importing taxable goods of a value of UGX 4,000,000 and above.

NB. If the importer is registered for VAT, he/she can claim any VAT incurred at importation through her/his monthly VAT returns.

Formulae for calculating VAT at importation

- VAT = VAT value x 18% = (ID+EXD+CV) x 18%
- Domestic VAT = 15% (VAT value x 18%) = 15% ((ID+EXD+CV) x 18%)

d) Withholding Tax (WHT) at importation

This is income tax withheld at the importation of a good. It is at a rate of 6% of the customs value. It can be claimed by the importer when he/she is filing his/her final income tax return as advanced tax already paid.

NB. If the importer is exempted from WHT, he/she should not be charged this tax at importation

Formulae for calculating WHT at importation

$$\text{WHT} = \text{Customs value} \times 6\%$$

e) Infrastructural levy: This levy is only applicable to dutiable items imported from outside EAC Region.

Note: The following will not attract the 1.5% Infrastructure Levy

- (i) Items that are at 0% Import duty rate
- (ii) All items imported under conditional Exemptions as indicated in the 5th Schedule of the EACCMA (East African Community Customs Management Act)

Formulae for calculating infrastructural levy

IL = Customs value x 1.5% Where; IL=Infrastructural levy

f) Environmental levy: This is tax levied on imports that may be harmful to the environment, for example, on used clothes and used vehicles.

Formulae for calculating the infrastructural levy

EL on used clothes = Customs value x 10%

EL on used vehicles of YOM between 5 and 10years = Customs value x 35% EL on used vehicles of

YOM 10years and above = Customs value x 50%

Where; EL= Environmental levy

Computation of Customs duties

Illustration

If you imported a car worth 2,000 dollars, paid 200 dollars for insurance and 300 dollars as freight charges up to Mombasa and the exchange rate is 1 dollar = 3,600 shilling;

Step I

Customs Value = Cost + Insurance + Freight

= Cost + Insurance + Freight

= 2000 + 200 + 300

= 2500

Step II

Customs Value = Customs value X Exchange rate

= 2500 X 3600

= 9,000,000

Step III

Determine the taxes.

Import duty = 25%, VAT = 18%, Withholding Tax = 6%

Import Duty

25% of 6,250,000

= 25/100 X 9,000,000

= 25/100 X 9,000,000

= 2,250,000

VAT

18% of (Customs Value + Import Duty)

= 18% X (9,000,000 + Import Duty)

= 18% X (9,000,000 + 2,250,000)

= 18/100 X 11,250,000

= 2,025,000

WHT

6% of Customs Value

= 6% X 9,000,000

= 6/100 X 9,000,000

= 540,000



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INFRASTRUCTURAL LEVY = 1.5% of Customs Value

= 1.5% of customs value

= 1.5% X 9,000,000

= 135,000

ENVIRONMENTAL LEVY

= 50% X 9,000,000

= 50/100 X 9,000,000

= 4,500,000

TOTAL TAXES = Import duty + VAT + WHT + Infrastructural Levy + Environmental Levy = 2,250,000 + 2,025,000 + 540,000 + 135,000 + 4,500,000 = 9,450,000

NOTE:

- a) For used motor vehicles, there is a value guideline used as a basis for valuing used motor vehicles and not the invoice price as guided by the EAC Ruling on the Valuation of used goods of 13th December, 2013.
- b) The currency for customs value is Uganda Shillings

G. STAMP DUTY

Stamp Duty is a non-tax revenue levied on every instrument listed in Schedule 2 to the Stamps Duty Act Cap. 339 that is executed or received in Uganda. Stamp duty is chargeable on all instruments in Schedule 2 to the Stamp Duty Act that are executed or received in Uganda. Instruments are defined as “every document by which any right or liability is or purports to be created, transferred, limited, extended, extinguished or recorded”.

Stamp Duty is paid by the person drawing, making, or executing the instrument, for example, if owners of a hotel are giving powers of attorney, they are required to pay UGX 15,000 as stamp duty. Here, the term “executing” means “signing”. The following instruments are some of those that pay stamp duty.

Every person who has executed or received any instrument in Schedule 2 of the Stamp Duty Act is required to declare and pay stamp duty on such an instrument.

2. LOCAL GOVERNMENT LEVIES

Fee	Description	Authority	Rate
Trading License	Permit to operate	Local Authority	UGX 300,000–2M
Hotel License	UTB-mandated	UTB	UGX 100,000–5M
Local Service Tax (LST)	On employee income	Local Gov't	UGX 5,000–100,000
Local Hotel Tax	Paid by the room occupants of hotels and lodges	Local Gov't	

Treatment of Local Hotel Tax under Income Tax

Local Hotel Tax is not paid by the hotel owner, but it's paid by the guests who occupy the room. It is thus not revenue to the hotel owner. For income tax purposes, this is not allowed as an expense to the hotel owner, as this revenue is not recognized in the records of the hotel owner and should thus be paid to the local authorities as and when received by the hotel management.

HOTEL TAX COMPLIANCE CALENDAR

Month	Obligation	Authority
15th Monthly	VAT, PAYE, WHT returns	URA
January/February	Trading License Renewal	Local Gov't
March 31	Income Tax Return (Previous Year)	URA
Quarterly	NSSF Payments	NSSF
Annual	UTB Hotel License Renewal	UTB

Source: UHOA

TAX INCENTIVES

INCOME TAX			
Beneficiary	Incentives	Period of Incentive	Conditions for the Tax Incentive
1. Private employers	Deduction of 2% Income tax payable.	Indefinite	Proof that 5% of their employees on full-time basis are persons with disabilities
2. Compliant taxpayers	6% WHT exemption on payment for goods and services and professional fees	12 months renewable	Where the Commissioner is satisfied that the taxpayer has regularly complied with the obligations under the tax laws
3. All taxpayers	100% deduction of Scientific research expenditure	Indefinite	A person who incurs expenditure for scientific research
4. All taxpayers	100% deduction of training expenditure	Indefinite	Employers who train permanent residents or provide tertiary education not exceeding, in the aggregate 5 years
5. All taxpayers	Industrial building deduction of 5% on the cost of construction of the hotel for 20 years	Indefinite	All taxpayers with depreciable assets
6. All taxpayers	Carry forward losses: Assessed loss is carried forward as a deduction in the following year of income.	Duration of the loss	All taxpayers
7. The investor is established in a country with which Uganda has Double Taxation Agreements (DTA) i.e. United Kingdom, Denmark, Norway, South Africa, India, Italy, Netherlands, and Mauritius	Reduced withholding tax rates are applicable on payments of dividends, interests, management fees, and royalties. The current applicable WHT rates under these DTAs is 10% except UK, where the rate is 15%.	Duration of the DTA	Beneficial owner of investment as defined in the Income Tax Act established with economic substance in a country with which Uganda has a DTA.

INTERNATIONAL TRADE INCENTIVES

Any of the following goods engraved or printed or marked with the hotel logo imported by a licensed hotel for its use

ITEM	Description	Tax incentive
	a) Washing machines Machine for washing clothes, bed linens, etc.	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	b) Kitchenware instruments and utensils Utensils found in a kitchen, particularly those associated with the preparation and serving of food.	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	c) Cookers Utensil, device, or apparatus for cooking	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	d) Fridges and freezers	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	e) Air conditioning systems A system used for cooling and drying the air in a building, room, etc.	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	f) Cutlery Edged or cutting tools specifically implements for cutting and eating food.	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	g) Televisions A device that receives television signals and reproduces them on a screen	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	h) Carpets A carpet is a textile floor covering typically consisting of an upper layer of pile attached to a backing	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	i) Furniture Large movable equipment, such as tables and chairs, used to make a house, office, or other space suitable for living or working	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004

ITEM	Description	Tax incentive
	j) Linen and curtains Linen: Sheets, pillowcases, and duvet covers Curtain: A piece of material suspended at the top to form a covering or screen, typically one of a pair at a window	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	k) Gymnasium equipment Exercise equipment is any apparatus or device used during physical activity to enhance the strength or conditioning effects of that exercise by providing either fixed or adjustable amounts of resistance, or to otherwise enhance the experience or Outcome of an exercise routine	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	l) Bathrobes	Import duty is applicable at a rate of 0% instead of 25% for one year when imported by a licensed hotel.
	m) Clothes-dryers	Import duty is applicable at a rate of 0% instead of 25% for one year when imported by a licensed hotel.
	n) Motor-car for transportation of tourists imported by tour operators upon recommendation by a competent authority responsible for tourism promotion in a partner state, provided the Vehicles meet the conditions as stipulated in the 5 th Schedule of EACCMA	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	o) Sightseeing buses with some specifications such as; Comfortable reclining coach seats, lavatory facilities, first aid equipment provisions, among others, as stipulated in the 5th Schedule of EACCMA	Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004
	p) Overland truck with some specifications such as; High clearance for off-road driving, comfortable reclining coach seats, inverter for charging electrical items, camping stocks, tents, kitchen and food storage, among others, as stipulated in the 5th Schedule of EACCMA	Exempted from all taxes under the 5th schedule of the East African Community Customs Management Act, 2004
	q) Tourism boats	Tourism boats imported by a licensed tour operator exempted from taxes under the 5th Schedule of the EACCMA

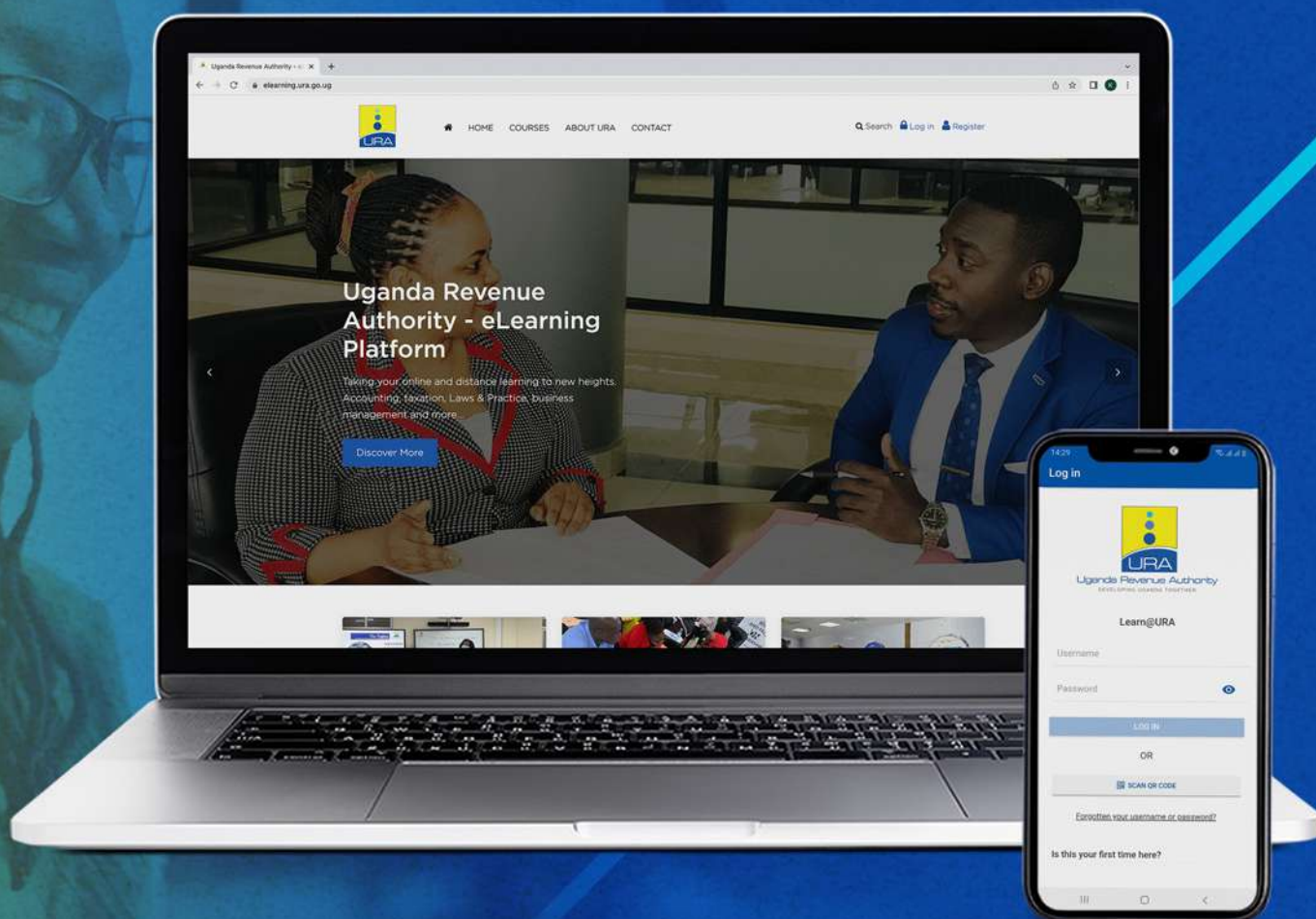
ITEM	Description	Tax incentive
	r) Battery-operated vehicles for use in hotels	Exempted from all taxes under the fifth schedule of the East African Community Customs Management Act, 2004

References:

- THE TAX PROCEDURES CODE ACT, CAP 343
- THE INCOME TAX ACT (ITA), CAP.338
- THE VALUE ADDED TAX ACT (VAT A), CAP.344
- THE STAMP DUTY ACT, CAP 339
- THE EXCISE DUTY ACT, CAP 336
- THE EAST AFRICAN COMMUNITY CUSTOMS MANAGEMENT ACT



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NON-INTRUSIVE INSPECTION (NII)

Key Benefits of NII

1. Eases and fastens examination of goods and cargo clearance process.
2. Easily detects contrabands and combats trade fraud such as concealments, mis-declarations and under declarations.
3. Maintains the international security chain thereby enhancing national security.
4. CBRN detectors are embedded to protect the environment from radiation.



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NOTES

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. A light blue decorative element is visible along the left edge, consisting of several overlapping rectangular shapes. There is no text or other markings on the page.

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Uganda Revenue Authority
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